UNIT 3: CONSOLIDATED STATEMENT OF FINANCIAL POSITION

SESSION 6: INTRA –GROUP ADJUSTMENTS TWO

In session 5, we examined how some intra-group transactions and balances are dealt with in consolidated statement of financial position. The previous session focused on elimination of current account balances, unrealised profits on inventory and on transfer of assets and also how to deal with mid-year acquisitions. In this session we focus on other intra-group transactions and balances such as accounting policy alignment, intra-group dividend and preference shares acquired in the subsidiary.

Objective

At the end of this session, you should be able to deal with other intra-group transactions and balances in the preparation of consolidated statement of financial position.

Accounting Policy Alignments

On consolidation, uniform accounting policies must be applied for all amounts. This is another consequence of the single entity concept.

If the parent company and subsidiary have different accounting policies, the balances in the subsidiary's financial statements must be adjusted to reflect the accounting policies of the parent company.

Illustration 1: Accounting Policy Alignments

Minor Ltd has been 75% owned by Major Ltd for some years. On 1 January 2022 Minor Ltd acquired an item of plant for GH¢80,000. Minor Ltd depreciates this item of plant at 15% on a reducing balance basis, while Major Ltd's policy for this class of plant is 10% per annum on a straight-line basis.

Required

Set out the adjustment required in the preparation of the consolidated statement of financial position at 31 December 2023

Solution 1

	GH¢
Carrying amount of plant at reporting date [in the books of Minor] [80,000 x 85% x 85%]	57,800
Carrying amount of plant at reporting [per policy of Major] [80,000 x80%]	64,000
Increase in carrying amount required	6,200

DR	Plant	GH¢6,200
CR	Consolidated retained earnings [75% of 6,200]	GH¢4650
CR	Non-controlling interest [25% of 6,200]	GH¢1,550

Intra-Group Dividend Received out of Pre-acquisition Profits

In a situation where the Parent acquires the shares in the Subsidiary on cum-dividend basis, the subsequent receipt of dividend relating to pre-acquisition period is regarded as a reduction to the cost of investment. The pre- acquisition dividend is therefore credited to the cost of investment. The goodwill arising from the acquisition however remains unchanged.

Illustration 2

P Ltd acquired 60% of the shares of S Ltd on 1 January 2025 at a total cost of GH¢45,000. The net assets of S Ltd on that date was as follows:

	GH¢
Share Capital (issued at GH¢1each)	40,000
Capital Reserve	5,000
Retained Earnings	15,000

	60,000
	======

Calculate

a) Goodwill arising from acquisition
b) Goodwill if S ltd subsequently pays a dividend of GH¢0.10 per share

Solution 2

	A	**B**
	GH¢	**GH¢**
Cost of Investment	45,000	45,000
Less: Pre-acquisition dividend (24,000 x GH¢0.10)		2,400
	---	---
Net Cost	45,000	42,600
	---	---
Net asset acquired		
Share capital	24,000	24,000
Capital reserve	3,000	3,000
Retained earnings	9,000	6,600*
	---	---
	36,000	33,600
	---	---
Goodwill	9,000	9,000
	=====	=====

***[60% of GH¢15,000 – (40,000shares x GH¢0.10)] = 60% of GH¢11,000 = GH¢6,600m**

If at the date of acquisition, S Ltd had already proposed the dividend, the income surplus of S Ltd would have been GH¢11,000 and the shareholders' fund would have been GH¢56,000. If the acquisition occurs part-way in the financial year of the subsidiary, it is usual to apportion the profit or the dividend paid in respect of that year between the pre-acquisition and post-acquisition periods on time basis (unless there is an indication to the contrary)

Dividend Received and Receivable out of Post-acquisition Profits

Dividends received by a parent company from a subsidiary out of profits arising in a post-acquisition period are treated as investment income in the books of the parent company. From the point of view of the group, however, the dividends are simply an intra-group transaction resulting in an increase in retained profits in the parent company accompanied by an equal reduction in retained profits in the subsidiary.

When a subsidiary company declares dividend, its parent company may credit dividend income in the Statement of comprehensive income and debit dividend receivable/ receivables/ current account in the Statement of Financial Position. Some parent companies however do not take credit for dividends from subsidiaries until those dividends have been received even though they are recorded by the subsidiary as dividend declared. From the point of view of the group, such declared dividends constitute retained profits and are therefore credited to Consolidated retained earnings.

Thus:

Debit Dividend Payable of Subsidiary
Credit Consolidated Retained Earnings
(with the group's portion of the subsidiary company's declared dividend)

Dividends payable by a subsidiary attributable to Non-controlling interest are shown in the consolidated Statement of Financial Position as a current liability item but not as part of the non-controlling interest

Illustration 3

P Ltd acquired 75% of the equity shares of S Ltd on 1 January 2023 at a total cost of GH¢9,000 , by which date the retained earnings balance of S Ltd was GH¢3,200. Extract from the statement of financial position of S Ltd as at 31 December 2025 was as follows:

	GH¢
Shareholders fund	
Share Capital	8,000
Retained Earnings*	10,400
Current liability	
Dividend Payable	2,400

***The retained earnings balance was after the dividend payable of the 2025 financial year GH¢2,400 had been charged.**

The retained earnings balance of P Ltd as at 31 December 2025 was GH¢30,000.

Required: Calculate the group retained earnings and non-controlling interest figures to be included in the consolidated statement of financial position as at 31 December 2025.

Solution 3

Group Retained Earnings (W5)

		GH¢
P Ltd		30,000
S Ltd	Post acquisition (75% of 7200)	5,400
	Dividend (75% of 2400)	1,800

	37,200
	======
Non-controlling interest	
	GH¢
Share Capital (25% of 8,000)	2,000
Retained (25% of 10,400)	2,600

	4,600
	=====

Note

- The parent company's portion of the pre-acquisition balance is transferred to the cost of investment in the calculation of goodwill. Only the share of post-acquisition profit is consolidated (GH¢10,400- GH¢3,200)
- The non-controlling interest portion of the dividend payable (25% of GH¢2,400 = GH¢600) is shown in the consolidated statement of financial position as a current liability.

Revaluation of Assets

If revaluation of assets is effected as part of the process of determining the true value of the business for the purpose of acquisition, revaluation surplus (deficit) is seen as pre- acquisition surplus (deficit) and treated as such.

Illustration 4

Parent Company acquired 75% of the equity shares of Sub Company on 1 January 2025. On that date the fair value of Sub Company's non-current assets was GH¢5,000 greater than their net book value and the balance of the retained earning account was GH¢7,500. The Statement of Financial Positions of both companies as at 31 December 2025 are given below (Sub Company has not reflected any revaluation in its books.

	Parent	Sub
	GH¢	GH¢
Non-current assets	31,500	14,000
Investment in Sub Company at cost	25,500	
Net Current Assets	31,000	16,500
	---------	---------
	88,000	30,500
	=====	=====
Financed by:		
Share Capital	40,000	10,000
Capital Reserves	20,000	10,000
Retained Earnings	28,000	10,500
	---------	---------
	88,000	30,500
	=====	=====

If Sub ltd had incorporated its revaluation in its financial statements, an additional depreciation of GH¢1,000 would have been charged to the statement of comprehensive income. There has not been any movement in the Capital Reserve account since acquisition

Required: Prepare the consolidated statement of financial position as at 31 December 2025.

Solution 4

Sub has not incorporated the revaluations in its draft accounts. As a prelude to the consolidation workings, adjustments must be made in the Subsidiary's financial statements to reflect the fair values.

Adjustment to Sub Company's Retained Earnings Balance

	GH¢	GH¢
Balance as per accounts at 1 January 2025		7,500
Profit for the year ended 3 1 December 2025:		
Per draft accounts (10,500 – 7,500)	3,000	
Cons adj. Increase in dep. Charge	(1,000)	
	--------	2,000
Adjusted balance as at 31 December 2025		9,500
		=====

Adjustment to Sub Company's Capital Reserve Balance

	GH¢	GH¢
Balance as per accounts at 1 January 2025		10,000
Revaluation surplus		5,000

		15,000
		=====

In the Consolidated Statement of Financial Position Sub Company's non-current assets will appear at their revalued amount (GH¢14,000 + GH¢5,000 - GH¢1,000 = GH ¢18,000)

Calculation of Goodwill

			GH¢
Cost of Investment			25,500

Share of net assets acquired			
Share Capital		10,000	
Capital Reserve (10,000 +5,000)	15,000		
Retained earnings	7,500		
	---------	22,500	

		32,500	
		======	
Group's share (75%)			24,375

Goodwill			**1,125**
			====

Non-controlling interest

	GH¢
Share Capital (25% of 10,000)	2,500
Capital Reserve (25% of 15,000)	3,750
Retained Earnings (25%of 9,500)	2,375

	8,625
	=====

Consolidated Retained Earnings	
Parent company	28,000
Share of Sub post acq retained profit	
(9500 –7,500 x 75%	1,500

	29,500
	======

Parent Company
Consolidated Statement of Financial Position as at 31 December 2025

	GHC
Goodwill	1,125
Tangible non-current assets (31,500+18,000)	49,500

	50,625
Net Current Assets (31,000+16,500)	47,500

	98,125
	======
Financed by:	
Share Capital	40,000
Capital Reserve	20,000
Retained Earnings	29,500

Shareholders' Interest	89,500
Non-controlling interest	8,625

	98,125
	=====

Illustration 5
A Ltd acquired 80% of the equity shares of B Ltd on 31 December 2025 for GH¢640 million. The net assets in the draft accounts of B Ltd at that date were GH¢700 million. The following information is relevant.

B Ltd owns its factory which is included in the accounts at GH¢200 million and no adjustment has been made to recognize the valuation of GH¢240 million put on the property when it was professionally revalued on 10th December 2025.

The fair value of B Ltd's inventory at 31 December 2025 is estimated to be GH¢8 million less than its book value at that date

In November 2025, B Ltd announced its decision to close down a small workshop with the loss of some jobs. The net costs of closure are estimated at GH¢20 million. No provision has been made at 31 December 2025
Required: Calculate the goodwill arising from the acquisition of B Ltd

Solution 5
Adjust B Ltd's net assets at 31 December 2025 to fair value:

GH¢m

Net assets as per the draft accounts	700
Revaluation of property	40
Write off of inventory	(8)
Provision for re-organisation cost	(20)*

Adjusted net asset as at 31 Dec 2025	712
	====

** The decision of B Ltd to close down the workshop was made prior to the yearend so a provision can be made for the related cost with some degree of accuracy.*

Calculation of goodwill

	GH¢m
Cost of acquisition	640.0
Net assets acquired (80% of GH¢712 m)	569.6

Goodwill	70.4
	=====

Parent Company Acquiring Preference Shares in a Subsidiary

Unless otherwise known, preference shares in a subsidiary are deemed to be owned by investors outside the group, ie Minority or outside interest. However it is not uncommon for a Parent to hold preference shares in a subsidiary. In the latter situation, the goodwill calculation will be as usual. The reserves of the subsidiary will be attributable to equity shares and none will be attributable to the preference shares for the purpose of determining goodwill arising from acquisition. It is also worth noting that the control structure/proportion between the parent and the Non-controlling interest is seen from the perspective of equity shareholding but not from the entire share capital or from the preference shares.

Where the parent has not acquired control of the preference shares of the subsidiary, ownership of the preference shares (by parties other than parent) is normally described as Outside interest and is combined with non-controlling interest in the consolidated Statement of Financial Position.

Illustration 6

From the information below, you are required to prepare the consolidated Statement of Financial Position of X Ltd group as at 31 December 2025

	X	Y	Z
Stated Capital	GH¢	GH¢	GH¢
Ordinary Shares	100,000	50,000	30,000
Preference Shares		10,000	
Capital Reserve	65,000		
Retained Earnings	41,000	7,000	(10,000)
	---	---	---
	206,000	67,000	20,000
Due to group companies	-	11,700	5,000
Payables	37,500	11,000	7,500
Taxation	28,000	7,000	-
Preference dividend-half year	-	375	-
Bank overdraft	-	-	5,000

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	271,500	97,075	37,500
	======	======	=====
Freehold buildings	65,000		
Plant and Machinery	44,000	20,000	14,000
Investment in Subsidiaries at cost	65,500		
Due to group members	14,000		4,000
Inventories at cost	43,500	35,400	12,500
Receivables	26,000	22,300	7,000
Bank balance	13,500	19,375	
	---	---	---
	271,500	97,075	37,500
	======	======	======

The following information is relevant

i) X Ltd acquired shares in its subsidiary companies as follows:

Y Limited
10,000 ordinary shares at incorporation for GH¢10,000
20,000 ordinary shares at 1 January 2023 for GH¢28,000
8,000 preference shares at 1 July 2024 for GH¢7,500

Z Limited
30,000 ordinary shares on 1 July 2024 for GH¢20,000

All shares were issued at GH¢1 per share

ii) On 1 January 2023 there was a debit balance of GH¢2,000 on the retained earnings account of Y and on 1 July 2024, there was a credit balance of GH¢3,000 on the retained earnings balance of Z limited.

iii) Intercompany balance at 31 December 2025 were as shown below:
- X Ltd's receivables included Y GH¢8,000 and Z GH¢6,000.
- Y Ltd's payables included X GH¢7,700 and Z GH¢4,000.
- Z Ltd's receivables included Y GH¢4,000.
- Z Ltd's payables included X GH¢5,000.

iv) A remittance of GH¢1,000 from X to Z on 29 December 2025 was not received and recorded by the latter company until 2 January 2026

v) Included in the inventories of X are goods for which it paid Y GH¢9,600 which the latter company sold at cost plus 20%

Solution 6

<u>X Group</u>
<u>Consolidated Statement of Financial Position as at 31 December 2005</u>

	GH¢	GH¢
Property, Plant and Equipment		
Freehold land and Buildings		65,000
Plant and machinery 44,000+ 20,000 + 14,000)		78,000

Goodwill		8,700

		151,700
Current Assets		
Inventories (43,500 + 35,400 +12,500+ -1,600)	89,800	
Receivables (26,000+ 22,300+ 7,000)	55,300	
Bank (13,500 + 19,375 + 1,000)	33,875	

	178,975	

Current liabilities		
Payables (37,500+11,000 +7,500)	56,000	
Taxation (28,000+ 7,000)	35,000	
Pref Dividend – Non-controlling interest (375-300)	75	
Bank overdraft	5,000	

	96,075	

Net Current Assets		82,900

		234,600
		=======
Financed by		
Share Capital		100,000
Capital Reserves		65,000
Retained Earnings		45,440

		210,440
Non-controlling interest		24,160

		234,600
		======

Workings

W1) Control structure (Ordinary shares)

	Y	Z
X Group	60%	100%
Non-controlling interest	40%	-

The preference shares are 80% owned by X and 20% by outsiders.

W2 **<u>Goodwill</u>**

	Y	Z
	GH¢	GH¢
Cost of Investment	45,500	20,000
	---	---
Representing Net Assets acquired		
Equity shares	30,000	30,000

Preference shares	8,000	
Pre-Acquisition ret earnings	(1,200)	3,000
	---	---
	36,800	33,000
	---	---
Goodwill	8,700	(13,000)
	======	======

w3) **Non-controlling interest**

	GH¢
Ordinary shares	20,000
Preference shares	2,000
Retained earnings 40% of (7000-1600)	2,160

	24,160
	======

w4) **Consolidated Retained Earnings Account**

			GH¢	GH¢
x	Balance	b/f		41,000
Y	share of post-acquisition movement in ret earning 60% of (7,000 + 2000 -1600)			4,440
z	share of post acq retained earnings (-10,000 – 3,000)			(13,000)
Negative Goodwill	(Gain on bargain purchase)			13,000

Balance to CBS				45,440

W5 **Inter - company indebtedness**

The inter-company balances do not cancel out. The balance is GH¢1,300. i.e

		GH¢	GH¢
Receivables		14,000	
	Z	4,000	
		---	18,000
Payables	Y	11,700	
	Z	5,000	
		---	(16,700)

			1,300
			======

After making adjustment for cash in transit of GH¢1,000, GH¢300 is left. This represents X share of the preference dividend payable by Y (80% of GH¢375). What it means is that X has taken credit of its share in the statement of comprehensive income and debited as receivable and included in the Intercompany current accounts.

Appropriate adjustment is to be made as to

DR	Preference share Dividend payable (Y)	GH¢300	
CR	Due from group members (x)		GH¢300